

Applebee's
NEIGHBORHOOD GRILL & BA

eClub Marketing Campaign

[Database Modeling and Management • Spring 2026]

Pub Diet Campaign

Direct Marketing Strategy for Applebee's eClub Members

TEAM MEMBERS

- ▶ Member 1 — [Zhen Zhou]
- ▶ Member 2 — [Liora Huang]
- ▶ Member 3 — [Yuxin Wu]
- ▶ Member 4 — [Eric Wang]
- ▶ Member 5 — [Xinyan Chen]

QSR Industry Overview

The Quick Service Restaurant (QSR) industry has evolved significantly in recent years, driven by changing consumer expectations around convenience, value, and digital accessibility. Consumers today are not only looking for affordable meals, but also for speed, personalization, and seamless ordering experiences.

QSR brands are increasingly competing on



Value perception (deals, bundles, discounts)



Convenience (takeout, delivery, mobile ordering)

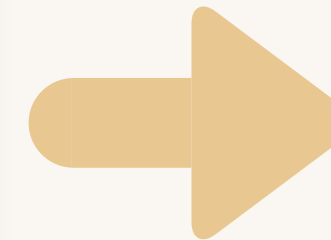


Brand experience (comfort, familiarity, lifestyle fit)

“price sensitivity remains a key driver, especially among middle-income and younger consumers, making promotions and coupons a central part of QSR marketing strategies”

QSR Customer Overview

- ★ Quick Service Restaurants (QSRs) attract a broad and diverse customer base, primarily driven by convenience, affordability, and speed.
- ★ In the US, approximately 78% of working adults consume QSR meals at least once per week, indicating strong habitual behavior.
- ★ The industry serves millions of customers daily, supported by urban density and fast-paced lifestyles.



Time-constrained (students, professionals, families)

Price-sensitive and value-oriented

Convenience-driven, prioritizing quick and accessible meals

Key Insights

“QSR demand is driven more by lifestyle factors (busy, on-the-go behavior) than by demographics alone, which makes behavioral targeting more effective than broad demographic segmentation.”

QSR Customer Profile

Who they are?

- Young and time-pressed
- Budget-conscious
- Digitally engaged
- Everyday restaurant users

What they want?

- Convenience
- Strong value for money
- Familiar and easy choices
- Low-effort meal decisions



Consumer Snapshot

- **Young-skewing:** 67% of Gen Z and 64% of Millennials say takeout is an essential part of their lifestyle
- **Habit-based:** 47% of adults pick up takeout at least weekly
- **Digital-first:** 53% of consumers say ordering and payment technology matters when choosing a limited-service restaurant

“I use restaurants as an everyday solution, making value- and behavior-based targeting especially important.”

Slide 1: Data Overview & Descriptive Statistics

400 eClub customers · 12 variables · 2016 Applebee's purchase data

400

Customers
Sampled

12

Variables
Analyzed

\$130.80

Avg Total
Spend

6.1

Avg Visits
per Year

Variable	Type	Description
Age / Gender / Ethnicity	Demographic	Customer profile — age (18–68), gender, ethnicity
Income	Demographic	Annual household income across 8 brackets
Marital Status	Demographic	Single, married, divorced, widowed, etc.
Child <18	Demographic	Whether household includes a child under age 18
Total Spend ★	Behavioral	Total dollars spent in 2016 (Range: \$10 – \$1,036)
#ofVisits ★	Behavioral	Number of restaurant visits in 2016 (Range: 1 – 47)
Avg. Order	Behavioral	Average check size per visit (Mean: \$21.36)
#CouponsUsed ★	Behavioral	Coupons redeemed in 2016 (Range: 0 – 6)

★ Primary variables used in RFM segmentation

Slide 2: Analytical Techniques Used

Three core methods applied to the 400-customer dataset

01 Logic Counter Variables

New columns created to classify each customer into High/Medium/Low tiers using quartile-based thresholds (Q1 and Q3).

- ▶ Total Spend: Low <\$37.50 | Med \$37–\$173 | High ≥\$173
- ▶ #ofVisits: Low = 1 | Med 2–7 | High ≥8 visits
- ▶ CouponsUsed: Low = 0 | Med = 1 | High ≥2
- ▶ Recency Score: 1=Jan–Jul | 2=Aug–Oct | 3=Nov–Dec
- ▶ RFM Score = Recency + Frequency + Monetary (3–9)

02 Cross-Tabulations

Variables cross-tabulated to reveal relationships between customer demographics and purchase behavior.

- ▶ Income recode × Total Spend recode
- ▶ Child Age Group × #ofVisits recode
- ▶ CouponsUsed recode × Avg. Order recode
- ▶ Total Spend recode × #ofVisits recode
- ▶ RFM Segment × Avg Spend / Visits / Coupons

03 Descriptive Statistics

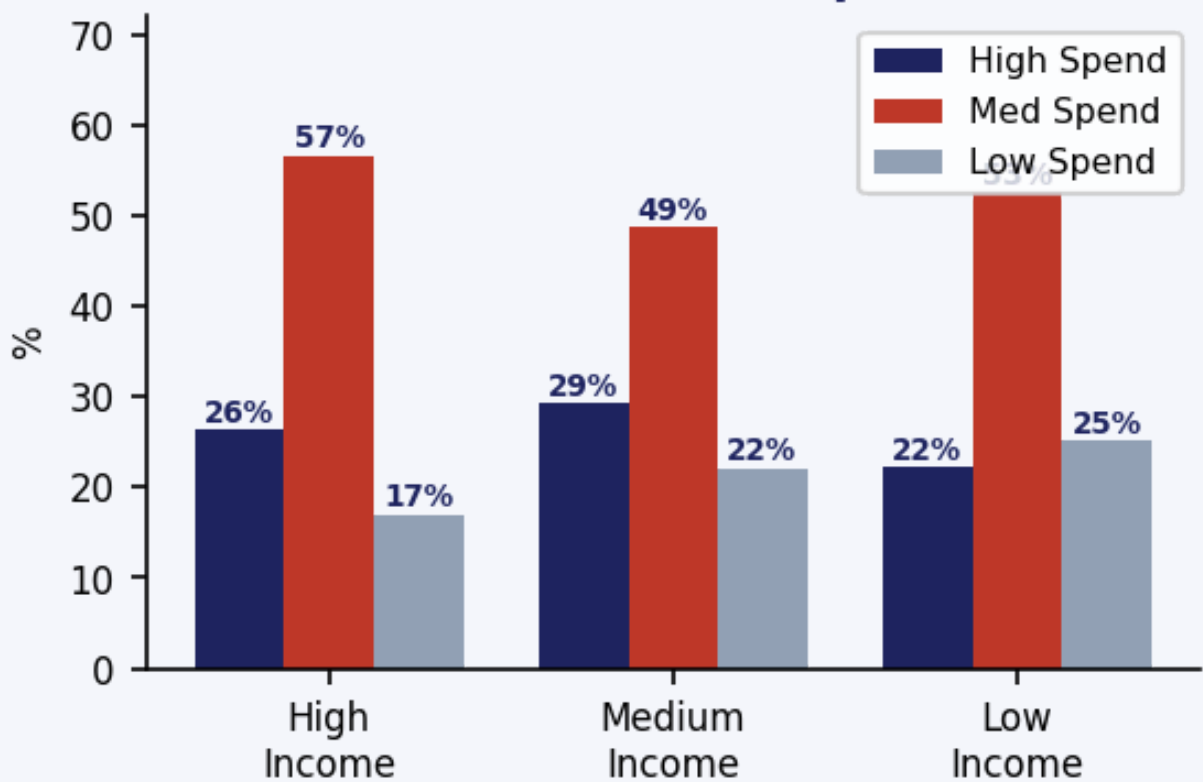
Summary statistics computed for all numeric variables to understand distributions and set recode thresholds.

- ▶ Mean, Median, Min, Max for all numeric variables
- ▶ Quartile analysis (Q1, Q3) for threshold-setting
- ▶ Frequency distributions for categorical variables
- ▶ Outlier review (max spend \$1,036 vs mean \$130.80)
- ▶ 400 records — no missing values detected

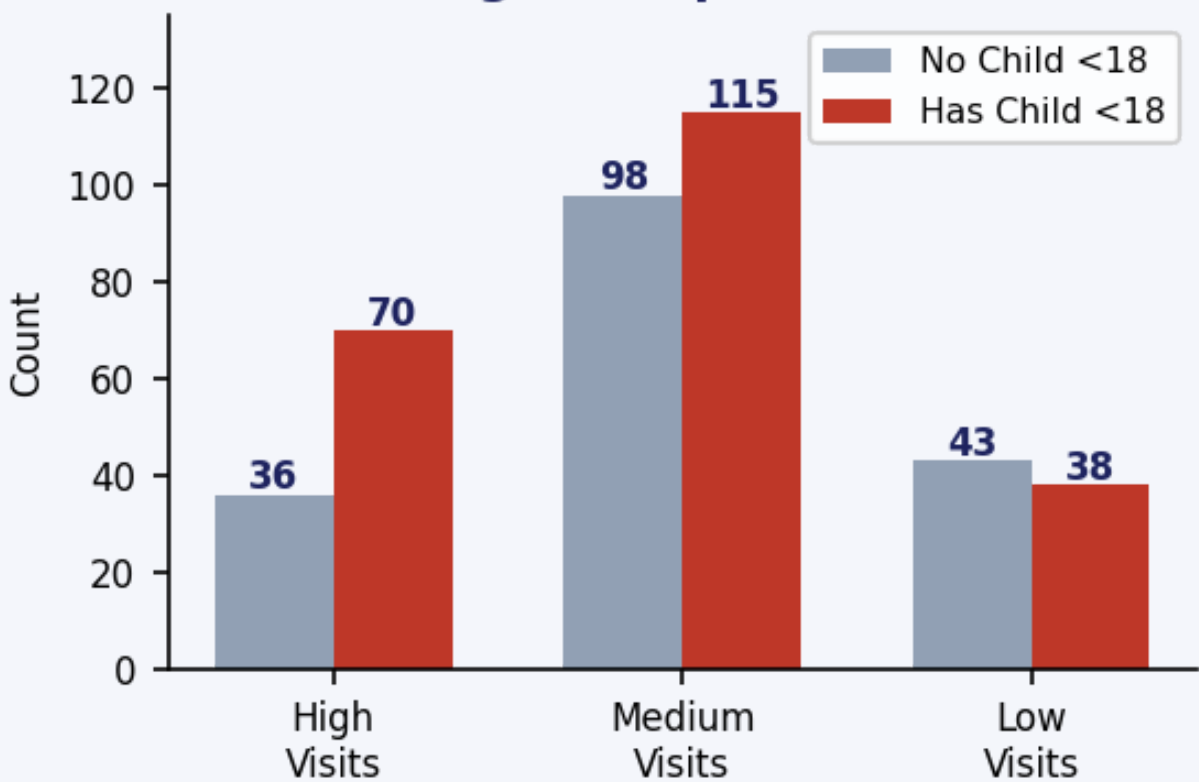
Slide 3: Cross-Tabulation Findings

Key behavioral and demographic relationships uncovered in the data

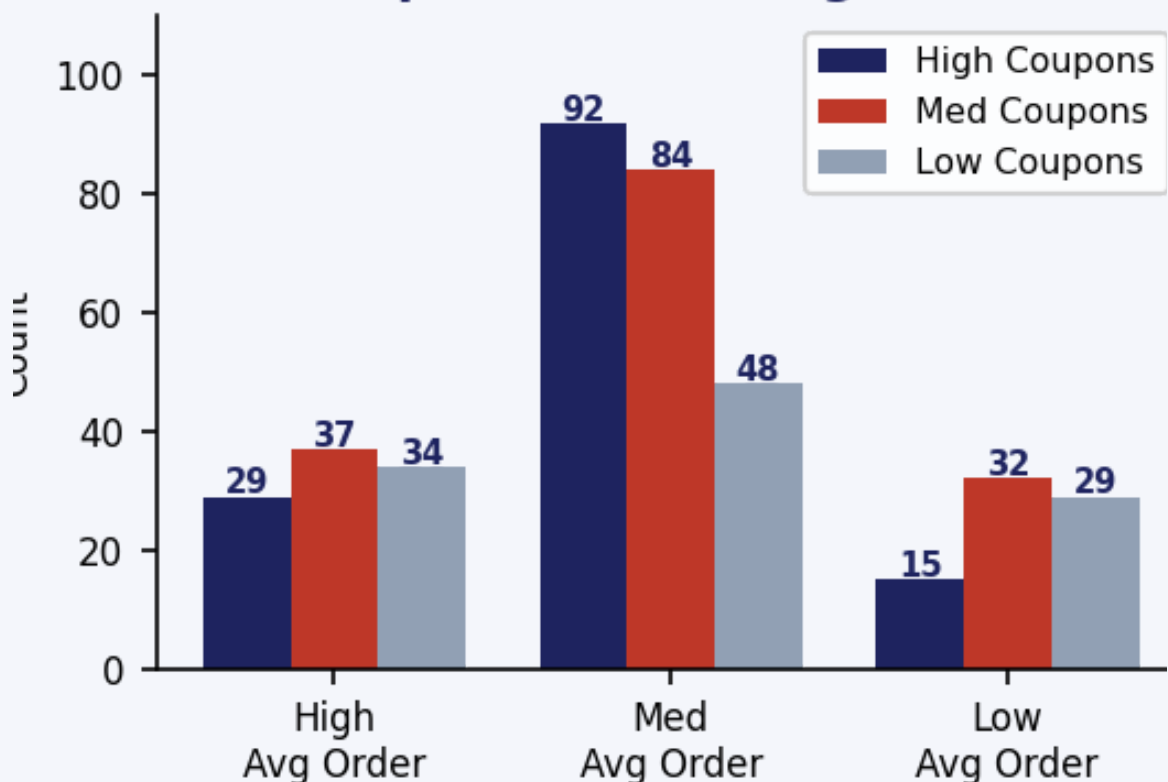
Income × Total Spend



Child Age Group × # of Visits



Coupons Used × Avg. Order



Medium-income customers show the highest high-spend rate (29.2%) — income alone does not predict spending.

Families with children <18 visit nearly 2× more often (70 vs 36 high-visit customers) — prime Pub Diet targets.

Coupon users do NOT reduce their avg order price — high coupon users maintain medium-to-high spend per visit.

Slide 4: RFM Segmentation Strategy — Four Value Tiers

Based on Recency · Frequency (#ofVisits) · Monetary (Total Spend) | Scores range 3–9

RFM Score = Recency Score (1–3) + Frequency Score (1–3) + Monetary Score (1–3) → Total: 3–9

VIP CUSTOMERS

\$391.06 avg spend | 18 visits/yr | 3 coupons used | Highest engagement

RFM Score = 9 · Top tier across all three dimensions

LOYAL CUSTOMERS

\$231.80 avg spend | 11 visits/yr | 2 coupons used | Strong retention

RFM Score = 7–8 · High value, frequent, recently active

POTENTIAL CUSTOMERS

\$83.47 avg spend | 4 visits/yr | 1 coupon used | Activation target

RFM Score = 5–6 · Moderate behavior, growth opportunity

LOW VALUE CUSTOMERS

\$21.78 avg spend | 1 visit/yr | 0.5 coupons used | Not cost-effective to solicit

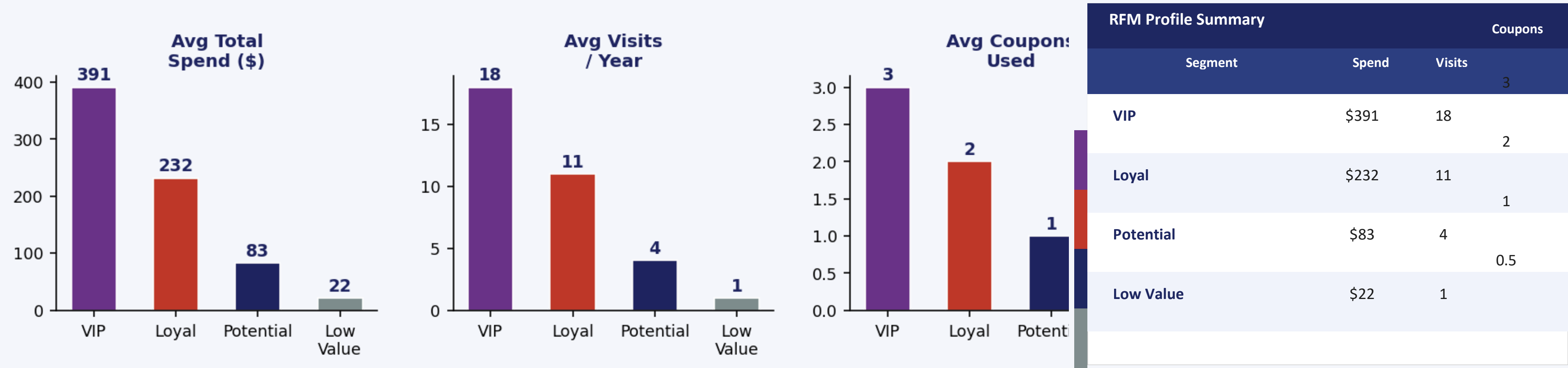
RFM Score = 3–4 · Infrequent, low spend, low recency

How Segments Were Built:

Each customer scored 1–3 on Recency (visit date), Frequency (#ofVisits quartiles), and Monetary (Total Spend quartiles). Scores summed to RFM total. Thresholds: VIP=9 | Loyal=7–8 | Potential=5–6 | Low Value=3–4.

Slide 5: RFM Customer Segmentation Profile Summary

Behavioral and demographic breakdown across four customer value tiers



Key Insight:

VIP customers spend 18× more and visit 16× more frequently than Low Value customers. They also use the most coupons — making them the ideal audience for the \$10 off Pub Diet promotion. Loyal customers represent a strong secondary target with proven visit frequency and coupon responsiveness.

Slide 6: Target Recommendation — Who to Solicit

Selecting 100,000 names from 1MM+ eClub database | Budget: \$250,000 max (\$2.50 per name)

$\$250,000 \div 100,000 \text{ recipients} = \$2.50 \text{ max cost per name} \rightarrow \text{Every selection must be justified by RFM value}$

PRIORITY 1 SOLICIT FIRST	PRIORITY 2 SOLICIT	PRIORITY 3 CONSIDER	PRIORITY 4 EXCLUDE
VIP Customers (RFM = 9) ▶ Highest spend (\$391) & visits (18/yr) ▶ Max coupon usage — proven responders ▶ All available names from this tier first ▶ Best ROI — lowest cannibalization risk ~Score 9 only Solicit ALL available	Loyal Customers (RFM = 7–8) ▶ Strong spend (\$232) & visits (11/yr) ▶ Active & recently visited ▶ Fill quota after VIP tier ▶ High likelihood of coupon redemption ~29.8% of database Select after Priority 1	Potential Customers (RFM = 5–6) ▶ Moderate spend (\$83), 4 visits/yr ▶ Growth opportunity — activation target ▶ Only include if budget remains ▶ Lower expected response rate ~48.5% of database Fill remaining budget only	Low Value Customers (RFM = 3–4) ▶ Avg spend \$21.78 — coupon ≈ entire check ▶ Only 1 visit/year — low engagement ▶ Poor ROI at \$2.50 per-name cost ▶ Reserve budget for higher tiers ~17.3% of database Do NOT solicit

Final Recommendation: Solicit VIP → Loyal → top Potential customers (ranked by RFM score) until 100,000 names are reached. Exclude all Low Value customers. Projected response rate: 3–5%

Marketing Plan

Direct Mail + Email only • \$250,000 total budget • 100,000 names from 1MM+ eClub database

BUDGET RULE: $\$250,000 \div 100,000 \text{ names} = \$2.50 \text{ max cost per name}$ → Every selection must be justified by RFM value



WAVE 1 — DIRECT MAIL

Cost:	\$4.00/piece	Redemption:	25%
Volume:	34,250 pieces	Budget:	\$137,000

TARGET: ALL VIP (4,500) + ALL Loyal (29,750)

- High-gloss 5.5×8.5 postcard: Cedar Grilled Lemon Chicken hero image
- Physical \$10 OFF coupon — stays on kitchen counter (reminder effect)
- Personalized name + nearest Applebee's location printed on mailer
- QR code links to Pub Diet nutrition page; redeemable in-store or Carside to Go



WAVE 2 — EMAIL (Primary)

Cost:	\$0.75/send	Redemption:	15%
Volume:	82,750 sends	Budget:	\$62,063

TARGET: ALL VIP + ALL Loyal + ALL Potential

- Mobile-responsive HTML; personalized subject line by segment tier
- VIP subject: "[Name], be first to try the new Pub Diet"
- Potential subject: "\$10 off your next visit — meet the Pub Diet"
- Red CTA button: REDEEM \$10 OFF → saves to digital wallet



WAVE 3 — EMAIL (Reminder)

Cost:	\$0.75/send	Redemption:	~8%
Volume:	66,200 sends	Budget:	\$49,650

TARGET: 80% non-redeemers from Wave 2

- Sent 14 days after Wave 2 to non-redeemers only
- Subject: "Last chance — your \$10 Pub Diet offer expires soon"
- Urgency copy + countdown; same \$10 coupon, new creative
- Suppresses anyone who already redeemed — no duplicate offers



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Segment Allocation & Solicitation Priority

Who gets solicited, how many names, which channel — derived from actual RFM counts (n=400 scaled to 1MM+ eClub database)

Segment	RFM	Sample (n=400)	Scaled (~1MM)	Avg Spend	Avg Visits	DM Wave 1	Email Wave 1	Email Wave 2	Segment Budget
 VIP	9	18	~4,500	\$391	18/yr	✓ 4,500	✓ 4,500	✓ ~3,600	$4,500 \times \$4 + (4,500 + 3,600) \times \$0.75 = \$24,075$
 LOYAL	7–8	119	~29,750	\$232	11/yr	✓ 29,750	✓ 29,750	✓ ~23,800	$29,750 \times \$4 + (29,750 + 23,800) \times \$0.75 = \$159,162.5$
 POTENTIAL	5–6	194	~48,500	\$83	4/yr	✗ None	✓ 48,500	✓ ~38,800	$(48,500 + 38,800) \times \$0.75 = \$65,475$
 LOW VALUE	3–4	69	~17,250	\$22	1/yr	✗	✗	✗	\$0 (Excluded)

GRAND TOTAL: VIP \$24,075 + LOYAL \$159,162.5 + POTENTIAL \$65,475 = **\$248,712.5** of \$250,000 budget (99.5% utilized)

Creative Brief & Social Amplification

Direct Mail & Email creative specs • Organic social as a zero-cost reach multiplier • No paid ads



DIRECT MAIL CREATIVE

Format

5.5×8.5 high-gloss postcard, full-bleed front

Front

Hero: Cedar Grilled Lemon Chicken photo. Headline: "All the Flavor. Under 600 Cal." \$10 OFF badge, prominent

Back

Detachable \$10 coupon + QR code → Pub Diet nutrition page. Personalized name + nearest Applebee's address printed

VIP Copy

"Be first to try our new neighborhood favorite" — exclusivity angle for RFM=9 customers

Loyal Copy

"Your next visit just got better" — value angle for RFM 7–8 customers

Timing

Drop date: Nov–Dec (Recency Score=3 window). Expires 30 days from mail date.



EMAIL CREATIVE (Waves 1 & 2)

W1 Subject

VIP: "[First Name], try it first — new Pub Diet at Applebee's" | Potential: "\$10 off — meet the Pub Diet"

W1 Body

Hero food image → Under 600 cal copy → Red CTA: REDEEM \$10 OFF → digital wallet save or print

W2 Subject

"Last chance — your \$10 Pub Diet offer expires soon" (sent Day 14 to non-redeemers only)

A/B Test

Taste-first ("fire-grilled flavor") vs. calorie-first ("under 600 cal") — track open/click/redeem by segment



SOCIAL AMPLIFICATION — \$0 BUDGET

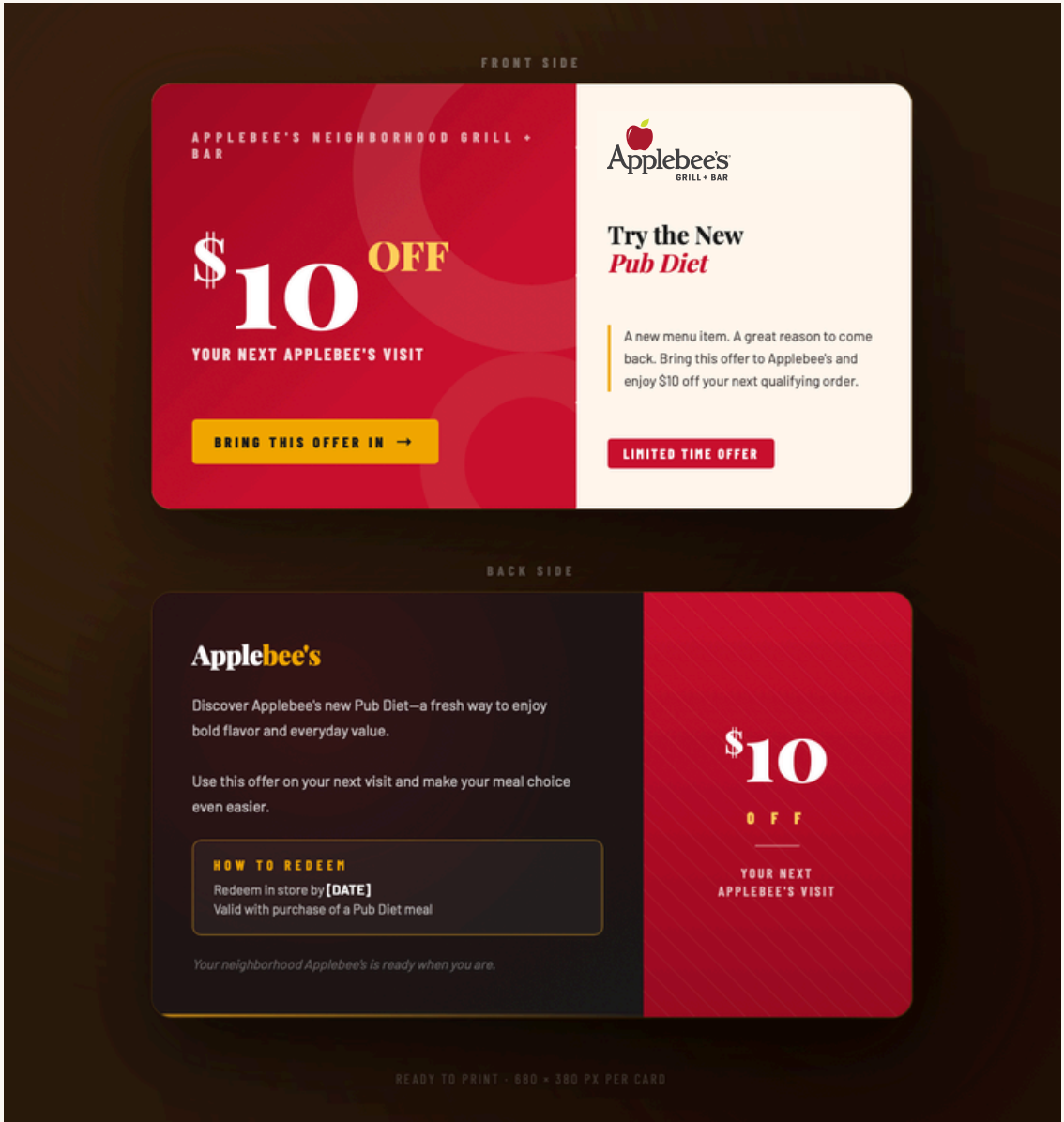
- Encourage #ApplebeesPubDiet organic posts on Instagram & Facebook — costs \$0
- User-generated content (photos, check-ins) extends reach beyond eClub audience
- eClub members who post tagged as 'Social Sharer' for future targeted campaigns
- NO paid display, search, or contextual keyword ads — 100% of budget goes to DM + Email



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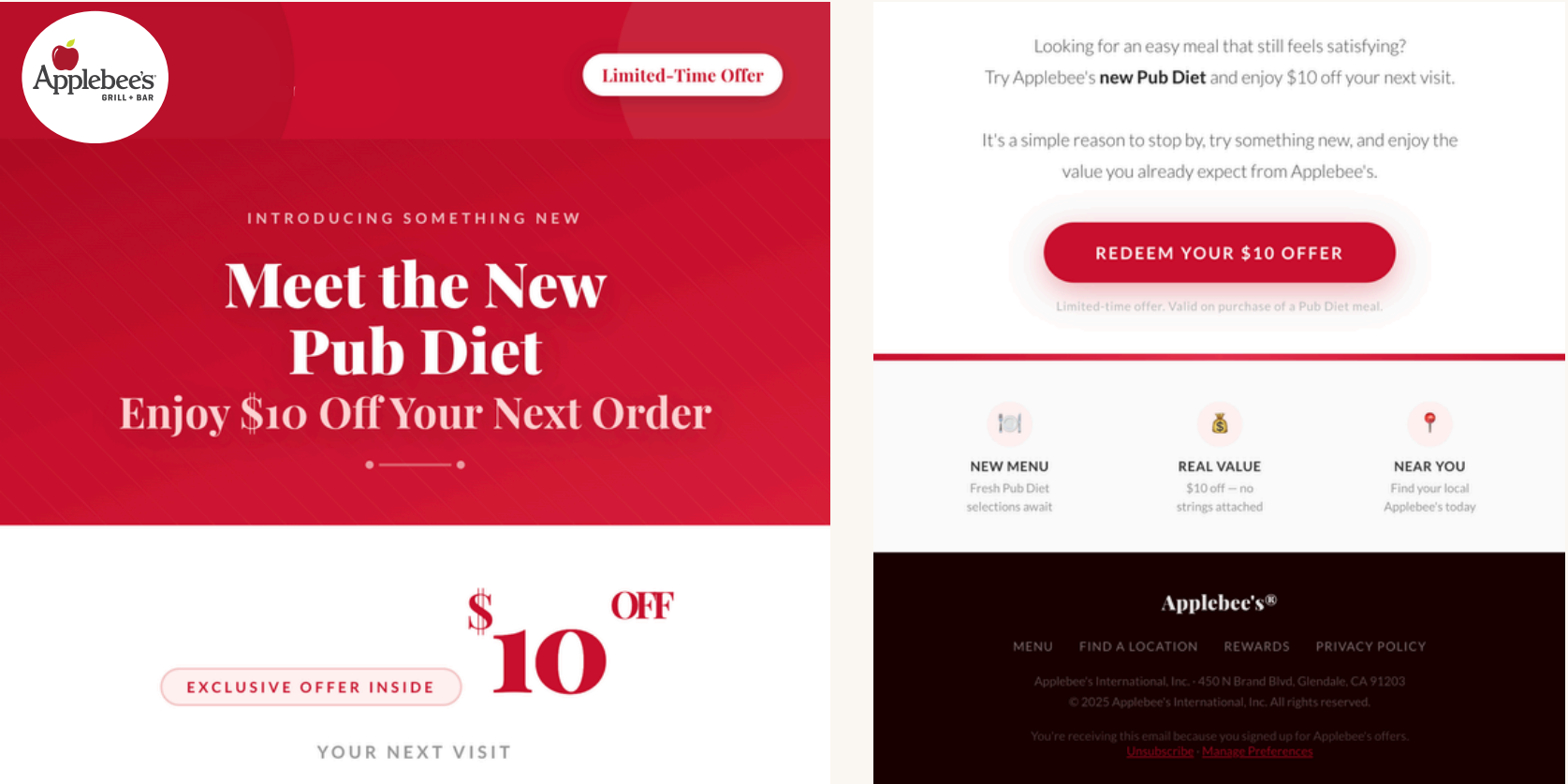
Creative Concepts

Direct Mail Creative Concept



\$4.00 / piece • 25% redemption

Email Creative Concept



\$0.75 / send • 15% redemption

Call-to-Action

THE ACTION: Visit your local Applebee's this week and try a selection from our new **Pub Diet menu** — all the flavor of the pub, under 600 calories.



THE INCENTIVE

\$10.00 OFF

coupon as the hook — lowers the barrier to first-time trial of the Pub Diet menu. Familiar value, new experience.



TARGET AUDIENCE



VIP (RFM=9)

High-frequency, coupon-responsive loyalists



Loyal (RFM 7–8)

Recently active with proven visit cadence



DIRECT MAIL

\$4.00 / piece • 25% redemption

High-gloss postcard featuring Cedar Grilled Lemon Chicken

Physical \$10 coupon creates a counter 'reminder effect'

Targets VIP & Loyal segments by postal address



EMAIL

\$0.75 / send • 15% redemption

Mobile-responsive layout with bold hero food image

"Click to Redeem" button saves coupon to digital wallet

Personalized subject line using first name + visit history



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Driving Aesthetic Resonance

How do we make a 'diet' menu irresistible at a neighborhood bar & grill?

The challenge: reframe "healthy" as "craveable" — without losing the Applebee's neighborhood identity.

01 Social Proof & Social Currency



Make guests the story

- Invite customers to share their Pub Diet meal on Instagram or Facebook
- Hashtag: #ApplebeesPubDiet — builds organic reach and peer validation
- User-generated content reinforces that real people enjoy the menu
- eClub members tagged as social sharers for future campaigns

"Share your #PubDiet moment"

02 Visual Storytelling (Taste-First Marketing)



Lead with flavor, not calories

- Language: "zesty lime," "hand-cut salsa," "fire-grilled" — not "low-calorie"
- High-quality food photography centers the craving, not the restriction
- Reframe: "Pub Diet = bold flavors you feel good about"
- Under 600 calories becomes a benefit, not a trade-off

"All the flavor. Under 600 cal."

03 The Logic Counter Hook (VIP/Loyal)



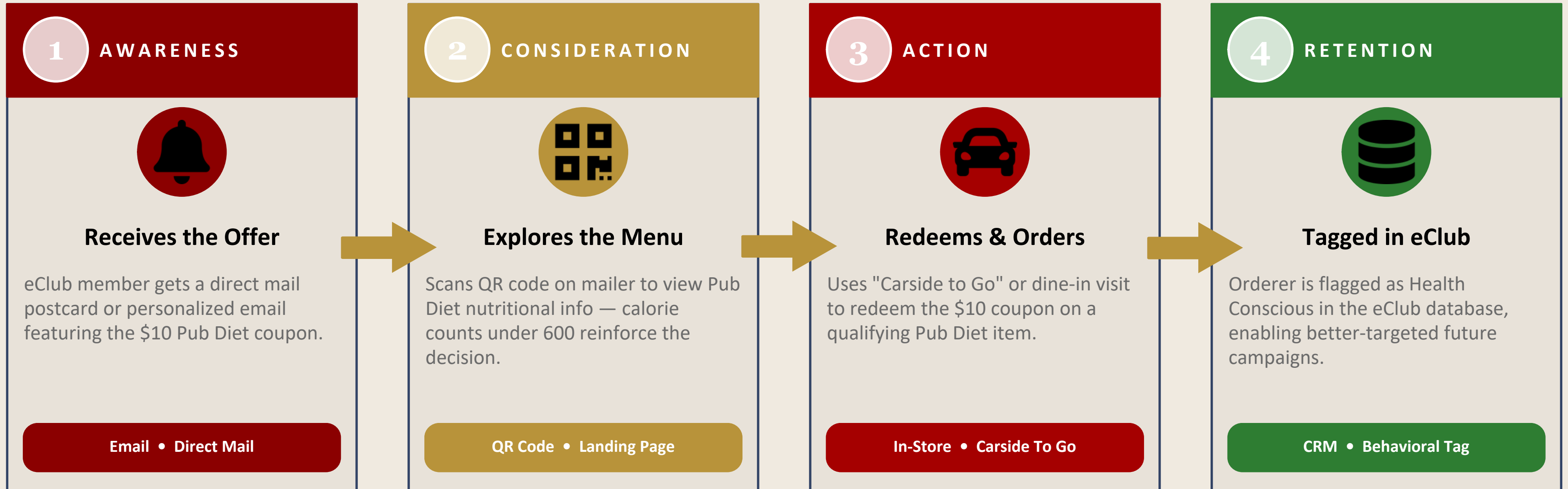
For high-value loyalists only

- CTA flips from "save money" → "be the first to try our new favorites"
- High-Value guests are framed as early adopters and neighborhood insiders
- Exclusivity message: early access to a new limited menu item
- Subject line: "Your Applebee's just added something new — try it first"

"Be first. Be a regular."

The Path to Purchase

From inbox to table — a frictionless journey to the Pub Diet menu



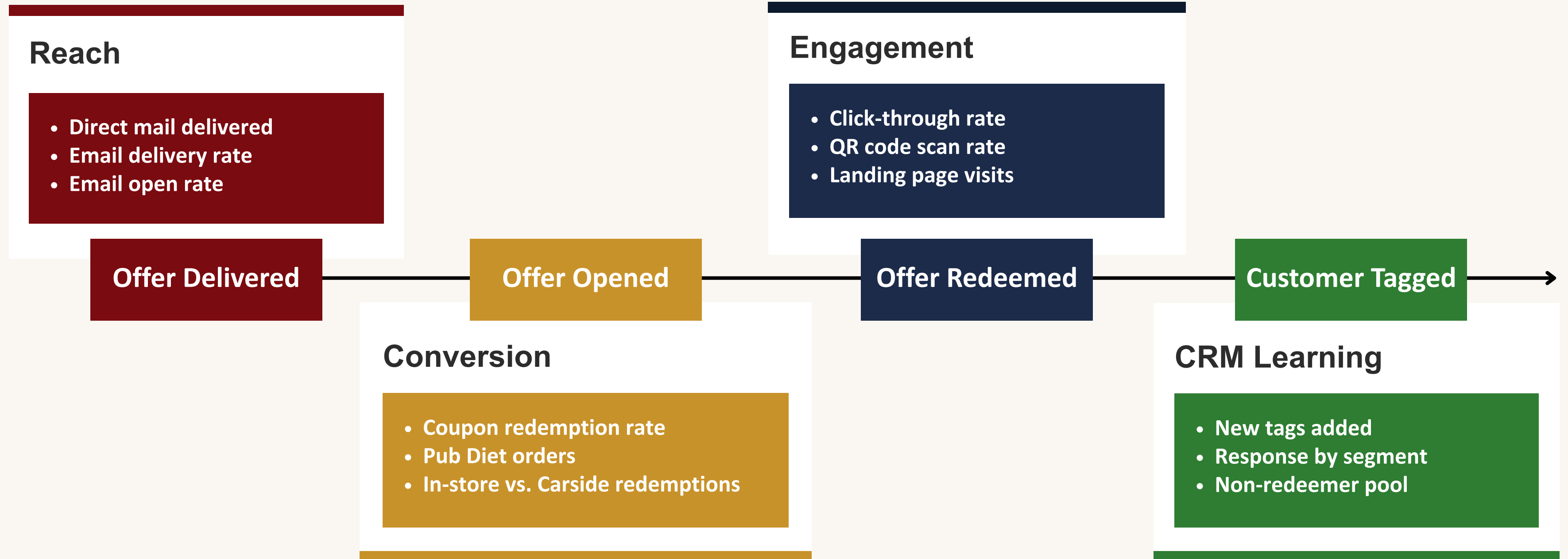
Why this loop works:



Each completed path-to-purchase creates a richer customer profile. The eClub database learns which members respond to health-forward messaging, enabling increasingly personalized — and cost-efficient — future campaigns for the Pub Diet and similar menu innovations.

Monitoring the Campaign Funnel

Tracking customer movement from offer delivery to redemption and CRM learning



This funnel helps Applebee's track not just delivery, but also customer engagement, redemption behavior, and future CRM value.

Measuring Segment and Channel Effectiveness

Key post-launch indicators to evaluate response by audience and touchpoint

Segment Performance

- Redemption rate by segment
- Pub Diet trial by segment
- Repeat engagement by segment

Channel Performance

- Direct mail redemption rate
- Email click-to-redemption rate
- Reminder email re-engagement rate

Campaign Effectiveness

- Pub Diet trial volume
- Coupon-driven visits
- Share of redeemers tagged for future targeting

These indicators help validate whether our segment prioritization and channel mix are driving the intended customer response.

ROI Calculation & Forecast

ROI = [(Revenue – Cost) ÷ Cost] × 100%

Channel	Volume	Cost/Unit	Total Cost	Redemption %	Revenue*	ROI
Direct Mail	34,250	\$4.00	\$137,000	25%	\$1.93M	1308.76%
Email(W1)	82,750	\$0.75	\$62,063	15%	\$2.79M	4395.43%
Email(W2)	66,200	\$0.75	\$49,650	~8%	\$1.19M	2296.78%
TOTAL	100,000+	—	\$248,713	—	\$5.91M	2276.23%

“This campaign demonstrates that targeted CRM marketing can generate substantial returns when aligned with customer lifetime value and behavioral segmentation.”

** Revenue = Avg order size per segment × Redemptions – \$10 coupon per redemption*

References

- [1] National Restaurant Association. State of the Restaurant Industry 2025 Pocket Guide.
- [2] National Restaurant Association. Off-Premises Restaurant Trends 2025.
- [3] Deloitte Insights. A fresh (food) take on grocery convenience.



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Thank You

Questions & Discussion

Presentation $\leq$ 20 min • Each member presents a section • All calculations verified